1955, India underwrote a development plan focused on communications, with the road link between Gangtok and Nathu La as one of its important projects.[28] In the case of Bhutan, the treaty of peace and friendship signed in August 1949 empowered India to guide Bhutan in its external relations and supervise its arms imports.[29] In addition, as Nehru told the Bhutanese monarch in 1958, "any incursion into Bhutan from Tibet was an incursion into India and would involve a conflict with India."[30] Nehru articulated a similar view with respect to Nepal and Indian security as well by noting in March 1950 that "any possible invasion of Nepal would inevitably involve the safety of India" because the Himalayas "lie on the other side of Nepal" and, therefore, "the principal barrier to India lies on the other side of Nepal."[31] Consequently, in the letter exchanged with the Treaty of Peace and Friendship signed in July 1950, India and Nepal agreed to "consult with each other and devise effective counter-measures" to deal with a threat from a third country and coordinate policies with respect to Nepal's arms imports.[32] Not surprisingly, in the wake of China's invasion of Tibet, India despatched personnel to help Nepal tighten security along the northern border, helped reorganise Nepal's Army, and sent Indian Army engineers to help construct roads and an all-weather airport.[33]

The second feature of Nehru's policy involved encouraging Tibet and China to negotiate a mutually satisfactory settlement that reconciled Tibetan autonomy with Chinese sovereignty. Accordingly, he advised representatives of the Tibetan government to negotiate a settlement with Beijing and entreated the Chinese leadership to peacefully adjust "legitimate Tibetan claims to autonomy within the framework of Chinese suzerainty."[34] While the Chinese snubbed Nehru by insisting that Tibet is sovereign Chinese territory that must be liberated by the PLA, the Tibetan government had no choice but to heed his advice after